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MGT101

MCQs

1. A business event which can be measured in terms of money and must be recorded in books of accounts is called:
    a. Data
    b. Transaction
    c. Information
    d. Record
2. After specific intervals, sum of sales return journal is posted to the debit side of. Select the correct option:
    a. Total debtors account
    b. Sales return account
    c. Total creditors account
    d. None of the given options
3. Which of the following account is 'Debit' if “The owner has paid Rs.500 from the business for his personal use"?
    a. Cash account
    b. Drawings account
    c. Bank account
    d. Capital account
4. All of the following items may appear in Trade payable control account EXCEPT:
    a. Purchases return
    b. Cheques paid to creditors
    c. Bad debts
    d. Discount received
5. A purchase of plant and machinery is a
    a. Capital Expenditure
    b. Revenue Expenditure
    c. Capital Receipt
    d. Revenue Receipt
6. Which of the following is a Capital expenditure?
    a. Purchase of a building
    b. Payment of salaries
    c. Long term loan from bank
    d. Sales revenue
7. While preparing a Debtors Control Account, Debit side posted items cause:
    a. Increase in debtors' balance
    b. Decrease in debtors' balance
    c. Both increase and decrease in debtors' balance
    d. Increase in creditors' balance
8. Sales return account is a/an
    a. Contra item
    b. Expense item
    c. Purchase item
    d. Liability item

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9. A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?
    a. Rs. 8,000 credit
    b. Rs. 8,500 credit
    c. Rs. 9,500 credit
    d. Rs. 10,000 credit
10. Which of the following is an error of principle?
    a. Bank charges being deducted by the bank without our knowledge
    b. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B
    c. Purchase of vehicle is recorded in repairs account
    d. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account
11. Purchases Rs. 500, Returns inwards Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases:
    a. Rs. 450
    b. Rs. 500
    c. Rs. 550
    d. Rs. 650
12. Mr. Y has recorded a stationary expense of Rs. 50 as salaries expense. What will be its effect on net profit?
    a. Overstated by Rs. 100
    b. Understated by Rs.100
    c. Understated by Rs.50
    d. No effect
13. Cotton thread to make fabric in manufacturing concern is:
    a. Raw material
    b. Work in process
    c. Finished goods
    d. Stock in trade
14. Which of the following is/are the function of financial accounting?
    a. Recording
    b. Posting
    c. Reporting
    d. All of the given options
15. If Work in Process closing inventory is provided as additional information, other than trial balance, then that inventory treated in:
    a. Balance Sheet only
    b. Profit and loss account only
    c. Both profit & loss account and balance sheet
    d. Expense only
16. Prime cost = Direct material cost +
    a. Direct labor cost
    b. Indirect material cost
    c. Other indirect costs
    d. Other costs
17. Wood used to make a table in manufacturing concern is:

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a. Raw material
b. Work in process
c. Finished goods
d. Stock in trade

18. Unconsumed office supplies are considered as:
    a. Admin expense
    b. Inventory
    c. Selling expense
    d. Financial expense
19. Carriage inward is Debited under main head:
    a. Expenses
    b. Income
    c. Assets
    d. Liabilities
20. When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct, is known as:
    a. Error of omission
    b. Error of commission
    c. Error of principle
    d. Error of original entry
21. Service fee received is a
    a. Capital Expenditure
    b. Revenue Expenditure
    c. Capital Receipt
    d. Revenue Receipt
22. Expired portion of direct cost is treated as:
    a. Expense
    b. Cost
    c. Liability
    d. Income
23. Control accounts are maintained for all of the following EXCEPT:
    a. Trade receivables
    b. Trade payables
    c. Depreciation
    d. Inventory
24. Factory overhead is a/an:
    a. Expense
    b. Liability
    c. Income
    d. Cost
25. Bank charges of Rs. 1,000 have been deducted by the bank without our knowledge. What will be its effect on net profit?
    a. Overstated by Rs. 1000
    b. Understated by Rs. 2,000
    c. Understated by Rs. 1.000
    d. No effect
26. Income = ?
    a. Profit-expenses

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b. Expenses – profit
c. Profit + expenses
d. Assets + profit

27. Sales Rs. 500, Returns outwards Rs. 50, Gross Profit Rs.100, Net Sales = ?
    a. Rs. 450
    b. Rs. 500
    c. Rs. 550
    d. Rs. 650
28. All of the following items appear on debit side of Trade payable control account EXCEPT:
    a. Cash paid to creditors
    b. Discount received
    c. Purchases return
    d. Credit purchases
29. Discount allowed to a debtor is credited under main head:
    a. Expense
    b. Income
    c. Assets
    d. Liabilities
30. Purchase return account is a/an.
    a. Contra item
    b. Expense item
    c. Income item
    d. Liability item
31. Consumed direct supplies are considered as:
    a. Admin expense
    b. Cost of sales
    c. Selling expense
    d. Financial expense
32. Salaries expense of Rs. 5,000 is recorded as Rs 500. What will be its effect on net profit?
    a. Overstated by Rs. 5,000
    b. Overstated Rs. 4,500
    c. Understated by Rs. 4,500
    d. No effect
33. Sales Rs. 500, Returns outwards Rs. 50, Gross Profit Rs.100, Net Sales = ?
    a. Rs. 450
    b. Rs. 500
    c. Rs. 550
    d. Rs. 650
34. A creditors control account is used to record all the transactions related to:
    a. Cash sales
    b. Credit sales
    c. Cash purchases
    d. Credit suppliers
35. Sales return account is a/an
    a. Contra item
    b. Expense item

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c. Purchase item
d. Liability item

36. Cotton thread to make fabric in manufacturing concern is:
    a. Raw material
    b. Work in process
    c. Finished goods
    d. Stock in trade
37. Factory overhead cost = Power & fuel cost +
    a. Direct labor cost
    b. Direct material cost
    c. Indirect material cost
    d. Other direct cost
38. All of the following items may appear in Trade receivable control account EXCEPT:
    a. Cash sales
    b. Cash received from debtors
    c. Bad debts
    d. Discount allowed
39. Which of the following is a Revenue receipt?
    a. Purchase of a building
    b. Payment of salaries
    c. Long term loan from bank
    d. Sales revenue
40. Mr. A recorded a cash payment of Rs.300,000 as salaries. Both the salaries and cash account were debited. What would be the debit effect of journal entry to rectify this error, if there is suspense account in trial balance?
    a. Suspense account
    b. Cash account
    c. Salaries account
    d. Bank account
41. All of the following items appear on credit side of Trade receivable control account EXCEPT:
    a. Cheques dishonored
    b. Cash received from debtors
    c. Bad debts
    d. Discount allowed
42. Material into finished goods?
    a. Trading concern
    b. Manufacturing concern
    c. Merchandising concern
    d. Service concern
43. A receivables ledger control account had a closing balance of Rs.9,000. Cash sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?
    a. Rs. 8,000 debit
    b. Rs. 8,500 debit
    c. Rs. 9,000 debit
    d. Rs. 9,500 debit
44. Expenses = ?

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a. Profit – capital
b. Income – profit
c. Profit + income
d. Assets + profit

45. A control account is an individual account that appears in the
a. Journal
b. General ledger
c. Trial balance
d. Invoice

46. Expenses are also known as:
a. Prepaid expense
b. Expired portion of cost
c. Cost incurred during production
d. Cost incurred on asset acquired

47. If some financial information is completely forgotten to record in the books of original entries:
a. Error of omission
b. Error of commission
c. Error of principle
d. Error of original entry

48. Income = ?
a. Profit+expenses
b. Expenses-profit
c. Profit – expenses
d. Assets-profit

49. Accumulated depreciation of furniture is A/an:
a. Expense account
b. Contra asset account
c. Liability account
d. Duct List

50. While preparing a Debtors Control Account Credit side posted items cause
a. Increase in debtors balance
b. Decrease in debtors balance
c. Beth increase and decrease debtors balance
d. No effect in creditors balance

51. A purchase of plant and machinery is a:
a. Capital Expenditure
b. Revenue Expenditure
c. Capital Receipt
d. Revenue Receipt

52. Carriage outward is Debited under main head:
a. Expenses
b. Income
c. Assets
d. Liabilities

53. Mr. X receives a discount of Rs. 50 from a supplier. The discount is debited to discount allowed account. What will be its effect on net profit?
a. Overstated by Rs. 100

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b. Understated by Rs. 100
c. Understated by Rs. 50
d. No effect

54. A debtors' control account is used to record all the transactions related to
a. Cash sales
b. Credit sales
c. Cash purchases
d. Credit purchases

55. A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance, such amount of difference shall be:
a. Error account
b. Suspense account
c. compensation account
d. Creation account

56. Shipping supplies consumed is considered as
a. Admin expense
b. Cost of sales
c. Selling expense
d. Financial expense

57. Which of the following should be considered as ready for sales in manufacturing concern?
a. Raw material
b. Work in process
c. Finished goods
d. stock in trade

58. If the debit side of trial balance is heavier than the credit side, suspense account will be written on:
a. Credit side
b. Debit side
c. Both debit and credit side
d. None of the given option

59. Which of the following is a Capital receipt?
a. Purchase of a building
b. Payment of salaries
c. Long term loan from bank
d. Sales revenue

60. Which of the following is a Revenue expenditure?
a. Purchase of a building
b. Payment of salaries
c. Long term loan from bank
d. Sales revenue

61. Mostly, control accounts are maintained for
a. Trade receivables
b. Trade payables
c. Inventory
d. All of the given options

62. Drawings account is a/an
a. Contra item

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b. Expense item
c. Assets item
d. Liability item

63. Sole proprietor can prepare following financial statements as final accounts
a. Balance sheet & statement of changes in equity
b. Balance sheet & statement of cash flow
c. Balance sheet & income statement
d. Balance sheet & notes to the financial statements

64. Which of the following Organization converts raw material into finished goods?
a. Trading concern
b. Manufacturing concern
c. Merchandising concern

65. Capital introduced by the owner is a
a. Capital Expenditure
b. Revenue Expenditure
c. Capital Receipt
d. Revenue Receipt

66. A creditors' control account is used to record all the transactions related to:
a. Cash sales
b. Credit sales
c. Cash purchases
d. Credit purchases

67. Carriage inward should be the part of
a. Selling expense
b. Admin expense
c. Direct cost
d. Indirect cost

68. Work in process closing inventory is a/an:
a. Expense
b. Liability
c. Income
d. Asset

69. Factory overhead is a/an:
a. Expense
b. Liability
c. Income
d. Cost

70. Discount received from a creditor is Credited under main head:
a. Expenses
b. Income
c. Assets
d. Liabilities

71. Unfinished goods are called:
a. Raw material
b. Work in process
c. Stock in trade
d. None of the given options

72. Which of the following NOT to be adjusted in cash book?

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a. Interest on bank deposit
b. Direct payment by a customer into the bank
c. Bank charges deducted by the bank
d. Cheques issued but not presented for payment

73. Goods sold for Rs. 5,000 on settlement terms (5/10,n/30). The amount of settlement discount is:
a. Rs. 250
b. Rs. 300
c. Rs. 500
d. Rs. 1,000

74. Bank Reconciliation Statement is prepared by of the business.
a. Bankers
b. Manager
c. Statutory auditor
d. Accountant

75. The bank debits the customer's account in pass book in case of:
a. Dividend received
b. Interest on Overdraft
c. Interest on Deposits
d. All of the given options

76. Which of the following are recorded in sales journal?
a. Cash sales transactions
b. Credit sales transactions
c. Credit sales return transactions
d. Both credit and cash sales transactions

77. Which of the following is WRONG?
a. Nature of Assets is Debit
b. Nature of Incomes is Debit
c. Nature of Expenses is Debit
d. Nature of Owners' Equity is Credit

78. Excess of expenses over income in a specified accounting period is called:
a. Profit
b. Loss
c. Surplus
d. Resources

79. The term "Debit" is derived from language.
a. Latin
b. English
c. French
d. Chinese

80. If resources in business are supplied by the owner(s) only, then financial position looks like:
a. Assets = Capital
b. Assets = Liabilities
c. Assets = Liabilities + Capital
d. Assets = Liabilities – Capital

81. Which of the following is TRUE regarding a 'Closing stock'?
a. It is an expired cost and an asset

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b. It is an expired cost and a liability
c. It is an un-expired cost and an asset
d. It is an un-expired cost and a liability

82. The person who is responsible for maintaining a journal is known as:
a. Chief financial officer
b. Bookkeeper
c. Financial manager
d. Internal auditor

83. Bank overdraft will fall under which of the following classification of accounts?
a. Assets
b. Expenses
c. Revenues
d. Liabilities

84. Increase in liability can cause increase in:
a. Receivables
b. Equity
c. Profit
d. Cash

85. Expense account is closed at the end of the accounting period in:
a. Income statement
b. Balance sheet
c. General Journal
d. Income account

86. Expenses paid in advance at the end of the period is treated as:
a. Assets
b. Liability
c. Income
d. Drawings

87. Which of the following is TRUE?
a. Nature of Incomes is Credit
b. Nature of Expenses is Debit
c. Nature of Owners' Equity is Credit
d. All of the given options

88. Goods sold on cash increase:
a. Assets
b. Liabilities
c. Expenses
d. Creditors

89. In case of goods sold on credit basis, debited.
a. Debtors account
b. Bank account
c. Credit account
d. Debit account

90. Bank Reconciliation Statement is a:
a. memorandum statements
b. ledger accounts
c. part of cash book
d. part of journal

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91. An event can be classified as non-monetary:
    a. Loss by accident
    b. Purchases on cash
    c. Selling on credit
    d. Placing purchase order
92. Which of the following is WRONG?
    a. Nature of Assets is Debit
    b. Nature of Expenses is Debit
    c. Nature of Owners' Equity is Credit
    d. Nature of Liabilities is Debit
93. The cost of goods sold account falls under which of the following classification of accounts:
    a. Assets
    b. Expenses
    c. Liabilities
    d. Income
94. Accrued income at the end of the period is treated as:
    a. Liability
    b. Asset
    c. Expense
    d. Drawings
95. Which of the following is an asset?
    a. Sales
    b. Account payable
    c. Prepaid insurance
    d. Wages
96. Which of the following might be a reason, when a Bank Statement shows greater balance then the Cash Book balance?
    a. Cheque issued but not yet presented
    b. Unrecorded bank charges in cash book
    c. Cheque deposited but not yet credited
    d. None of the given options
97. _____ is charged to profit and loss account.
    a. Capital
    b. Drawings
    c. long term loan
    d. Bad debts account
98. The main purpose of _____ is to ascertain true and fair result of the business operations during a particular period of time, for external reporting only.
    a. Cost Accounting
    b. Managerial Accounting
    c. Financial Accounting
    d. Tax Accounting
99. All of the following are the expenses EXCEPT:
    a. Wages
    b. Rent payable
    c. Interest
    d. Utilities

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100. Which of the following account is 'Debit' if “The owner has paid Rs.500 from the business for his personal use"?
   a. Cash account
   b. Drawings account
   c. Bank account
   d. Capital account

101. After specific intervals, sum of sales return journal is posted to the debit side of:
   a. Total debtors account
   b. Sales return account
   c. Total creditors account
   d. None of the given options

102. A business event which can be measured in terms of money and must be recorded in books of accounts is called:
   a. Data
   b. Transaction
   c. Information
   d. Record